OFFICE OF LEGISLATIVE COUNSEL — DRAFTING MEMORANDUM

Climate Resilience Funding Act — drafting file note, 21 July 2025

This note records drafting choices made in the course of preparing the bill and matters left open. It is a working note and does not represent the view of any Member.

Coverage of the Producer definition

The three requirements in section 7-019(k) are cumulative. We drew the Senate's attention to the fact that the proportionate test adopted in subsection (iii) operates on the entity's own revenue, so that the in-state amount required rises with the size of the entity. We were instructed that the proportionate form was preferred notwithstanding.

Subsection (ii) as amended does not state the period over which the annual threshold is to be measured. We raised this and were told the point could be left to the Board. We note that the Board's rulemaking authority under section 7-022(h) does not extend to section 7-019.

Basis of the assessment

Subsection (1)(a) directs that the assessment be based on pro-rata sales; subsection (1)(b), added in the House, directs a methodology based on estimated CO2E. The two are not the same measure. We flagged the point to the House Committee and were told that the Board would reconcile them in the regulations.

Instalments

Subsection (1)(d) permits payment in up to five annual instalments. The bill does not provide for interest on unpaid instalments and does not address what happens if an entity ceases to meet the definition after the first instalment falls due.

Property Fee

The fee in section 7-021(b) attaches on the undertaking of a Major Renovation. The bill does not say whether the trigger is the issue of a permit or the completion of the work. The Building Standards Division records permits, not completions.

Drafting matters of form

We have used 'Board' throughout in place of 'Department'. Defined terms are capitalised on each use. Cross-references are to sections rather than to subsections where the whole section is intended. The Act uses 'fee' in section 7-021 and 'charge' in section 7-020; we recommended a single term and the recommendation was not adopted.

Numbering: section 7-023 was struck in the House. We did not renumber, so the Act as enrolled runs from 7-017 to 7-022.

Matters left open

(1) The measurement period in section 7-019(k)(ii). (2) The reconciliation of sections 7-020(1)(a) and (1)(b). (3) Interest on instalments. (4) The trigger for the renovation fee. (5) Whether the assessment reaches an entity that met the definition as of the end of 2025 but has since ceased to do so.

Retained in the drafting file. Not published with the bill.